85 WHIPPANY RD CARE PAD

Hanover Twp, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Hold: absorption. Arbor Terrace Florham Park (80 AL/MC, opening late 2027) uses up most of the unmet demand this pad needs. Hold behind Florham Park; do not pursue both.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$61.8M	**$24.7M · $37.1M**	**6.59%**

LEVERED IRR · LP NET	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
8.3% · 8.3%	**$9.2M**	**$2.83M**

THESIS

- **Approvability.** Care use permitted in zone; AL may need interpretation. Opposition risk is low.
- **Deal route.** Pad from JMF. JMF owns 86 ac; pad carve-out.
- **Need and rents.** Need 58, rent support 75 and approval 66 on a 100-point scale. About 10,022 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 6.59% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $72.5M on trended NOI of $4.71M. Max land at the floor is $6.6M against a $5.7M basis. LP net IRR after an 8% pref and 80/20 split: 8.3%.

SOURCES AND USES

Land	$5.70M
Hard cost	$35.19M
Site work	$1.24M
Contingency	$1.82M
FF&E	$2.51M
Soft cost	$7.29M
Construction interest	$3.00M
Lease-up reserve	$5.10M
Total uses	**$61.84M**
Equity, 40% (LP 90% / GP 10%)	$24.74M
Construction loan, 60% LTC	$37.10M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Benchmark / National Development
Operator, second	Sunrise
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	6.59%	4.4%	8.3%	1.37x	$9.2M
Rents −10%	5.84%	0.6%	1.2%	1.05x	$1.2M
Hard costs +10%	6.13%	2.1%	4.1%	1.17x	$4.6M
Exit cap +50 bps	6.59%	2.0%	4.0%	1.17x	$4.2M
Lease-up +6 months	6.48%	3.8%	7.3%	1.37x	$9.3M
Combined downside	**5.36%**	**-3.4%**	**-7.7%**	**0.70x**	**−$8.0M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.36% and the levered IRR to -7.7%, a $8.0M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **On hold · contingency: GMP + PILOT.** On hold for absorption: do not pursue now. If a NIC MAP pull or the Arbor Terrace lease-up shows the demand is there, the contingency structure is GMP + PILOT, which would hold breakeven in the combined downside.

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	6.59%	$9.2M	5.36%	−$8.0M	No
GMP contract	6.59%	$9.2M	5.63%	−$4.7M	No
GMP + PILOT	**7.38%**	**$17.7M**	**6.40%**	**$3.2M**	**Yes**
GMP + ground lease	6.65%	$9.0M	5.60%	−$4.6M	No
GMP + PILOT + ground lease	7.51%	$17.4M	6.44%	$3.3M	Yes
GMP + operator master lease	6.11%	−$3.1M	5.96%	−$8.1M	No
Fee development for a nonprofit	8.00%	$24.4M	7.01%	$9.6M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 60% (Even). OB-RL3 permits nursing homes/hospitals; JMF approved for 400 homes + hotel.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Supported by the same Morris comp set (Class A median $9,971). On hold for absorption, not rent. A NIC MAP pull and a rate shop confirm before LOI.
Absorption	Hold. Whippany sits closer to the existing Whippany and Parsippany cluster and has a smaller 75+ base. With Arbor Terrace counted, unmet demand nearly disappears at a 10% need rate, so the pad does not support 114 units on its own. Hold it behind Florham Park; only one of the two should go forward.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Confirm AL under OB-RL3; call JMF.
2. Gate 1 · Feasibility by month 3, $0.19M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.30M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-06. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-06-proforma.xlsx